TeraWulf (WULF) | Earnings Update

3Q26 (quarter to 30 September 2026) | 6 November 2026

Prepared by Josh for CK, Third Prime. Post-call version. Treat as a strong first draft.

1 Executive snapshot

Consensus thesis. A power-rich landlord whose contracted MW become debt capacity once investment-grade credit stands behind the tenant, valued on 2027-28 rent rather than this quarter.

Thesis status: Intact. **Versus expectations.** Quarter: beat on revenue ($76.2mn vs $64.3mn Yahoo, from preview; $63.34mn per 24/7 Wall St.), but HPC rent proper was $46.0mn. Outlook: in line, as CB-4 stays in the fourth quarter though its first hall moved past late September and Justified now runs to 2Q28.

Biggest changes

- Google credit support for the $19bn Anthropic lease announced 4 November, applying once the lease commences: mandatory lease assumption or debt-reducing termination payment; no upfront equity to Google; cost recoverable from the tenant; falls away on Anthropic investment-grade ratings. No dollar cap disclosed.
- CB-4 rent: 102 MW still billing at 30 September; phased November to December, against a late-September first hall in August.
- Justified completions now late 2027 through 2Q28, from 2H27 to early 2028; Fluor GMP EPC signed, GMP still being set, design at 90%.
- Revenue beat, yet interest of $53.6mn is 70% of revenue and adjusted EBITDA stayed negative at -$12.8mn.
- Revolver rises to $400mn when the CB-4 lease commences ($150mn today, $75mn used); $280mn of Abernathy proceeds still to come; parent cash about $1.1bn.

Investor takeaway. The consensus view holds and its largest overhang has eased, because Google agreed to backstop the Anthropic lease with no incremental upfront equity, but credit quality only improves once the Justified debt prices, CB-4's first rent moved later, and Justified's end date moved to 2Q28.

Monitor next quarter

- MW billing at 31 December (270 MW guided) and 31 March (438 MW).
- Justified debt: size, coupon, recourse, and how much of the rent Google stands behind.
- First Muskie tenant, and whether it comes with direct investment-grade credit.

2 Key changes this quarter

Pillar	Market assumed	Quarter showed	Verdict	Source
P1 CB-4 and CB-5 on schedule	CB-4 first hall late Sep; all by Q4; CB-5 January	No CB-4 rent in 3Q; Nov-Dec phasing; CB-5 Q1 2027. Company says on track	Confirmed, with slip	Release; deck; call
P2 Investment-grade support for Justified	Not finalized; KBW's main overhang	Announced with Google (AA+/Aa2); no incremental upfront equity; applies from lease commencement	Confirmed	4 Nov release; call
P3 Justified debt at a workable price	About $3.5bn, Bloomberg via press	Not launched; terms when it kicks off	Unresolved	Call
P4 Build cost holds	$8mn-$10mn LM; $10mn-$12mn Justified	$8.9mn at LM; Justified reaffirmed; design 90%, GMP being set	Confirmed	Call
P5 Funded without heavy dilution	Rely on project debt	CFO says liquidity and Abernathy fund commitments without equity markets; 19.4% more shares YTD	Unresolved	Call; release

Emphasized more: investment-grade as a requirement on every lease, GMP contracts, Lake Mariner cost inside guidance.

Emphasized less or dropped: mining (no call discussion; revenue $13.2mn); Morgantown only when asked; current pricing, on which the CEO told analysts not to focus.

KPIs now matter more: MW billing by date, rent excluding pass-through ($46.0mn of revenue). **Less:** GAAP net income ($709.9mn on a $728.4mn warrant gain and $95mn Abernathy gain).

Risks up: rate-and-spread exposure until Justified prices, though management cites contractual protections. **Risks down:** tenant credit at Justified from lease commencement.

Topic	2Q26 call	3Q26 call	Status / answers
Cost of debt and recourse	Glagola (KBW)	Grondahl (Northland), Luebchow (Wells), Dorsheimer (Blair), Knoblauch (Cantor)	Rising; direct to partial, no economics
Capex and funding	Northland; Brendler (Rosenblatt)	Byrd (Morgan Stanley), Funk (BofA)	Persistent; direct, no sizes
Build cost and overruns	Oppenheimer; Funk	Glagola	Persistent; direct, GMP
Power and sites	Giles (B. Riley), Rollins (Citi)	Giles; Lucid	Persistent; partial
Pricing and yields	Funk	Rollins; Lucid	Rising; deflected twice
Permitting and politics	Lucid; Brendler	Dorsheimer; Funk	Persistent; direct, then deflected on cost
Delivery and MW timing		Giles	Direct: 168 MW + 168 MW

Trevor's watch-list. No analyst named by CK; I chose Brett Knoblauch (Cantor) for pressing how long hyperscaler backstops last. 3Q26: rated partial (mechanism, no appetite data); same analyst pressed IREN on investment-grade mix a day earlier. Also Stephen Byrd (Morgan Stanley) on equity overhang: options listed (prepayment, customer equity, leverage, stake sales), none sized. Ratings: 16 questions from 10 analysts: 7 direct, 6 partial, 3 deflected. Automated transcript with errors; 2Q26 topics partly from a summary.

3 KPI dashboard

Metric	3Q26	2Q26	3Q25	QoQ / YoY	Trend
Revenue, $mn	76.2	44.8	50.6	+70% / +51%	[↑]
HPC lease revenue, $mn	63.0	31.9	7.2	+97% / n.m.	[↑]
of which rent, $mn (deck)	46.0	n.a.	n.a.	60% of revenue	[?]
Mining revenue, $mn	13.2	12.8	43.4	+3% / -69%	[~]
Adjusted EBITDA, $mn	-12.8	-18.3	18.1	improved QoQ	[↑]
Operating loss, $mn (margin)	-88.2 (-116%)	n.a.	-24.7		[↓]
Depreciation, $mn	29.6	21.2	26.5	+40% / +12%	[↓]
Interest expense, $mn (% revenue)	53.6 (70%)	56.4 (126%)	9.8	-5% / n.m.	[↓]
Net income, $mn (warrants)	709.9	see note	-455.1	distorted	[?]
MW billing at quarter end	102	81	n.a.	+26%	[↑]
Contracted critical IT MW	839	about 840	n.a.	flat	[~]
MW under construction	737	n.a.	n.a.		[~]
Build cost at LM, $mn per MW	8.9	$8mn-$10mn guide	n.a.	within guide	[~]
Cash + restricted, $bn	2.36	about 3.0	n.a.	-21%	[↓]
Debt, carrying, $bn	5.23	n.a.	n.a.		[↓]
Net debt, $bn (deck)	3.4	2.7	n.a.	+$0.7bn	[↓]
Warrant liabilities, $bn	1.09	1.82	n.a.	-40%	[↑]
Shares outstanding, mn	501.4	n.a.	n.a.	+19.4% YTD	[↓]

Flags: for cost, debt and dilution lines, [↓] means worse for shareholders. Q2 EPS was -$1.94 on a $755.7mn warrant loss; Q3 basic EPS $1.42, diluted -$0.03. Q3 10-Q not yet read.

4 Guidance analysis

Metric	Guidance	vs. prior	vs. consensus	Management explanation	Analyst read
CB-4 (168 MW)	Phased Nov-Dec 2026	Later first hall; year-end held	n.a.	"on track"	Soft slip, little 4Q revenue
CB-5 (168 MW)	Phased through Q1 2027	Maintained	n.a.	Commissioning starts this month	Sets the $700mn exit
Run-rate lease revenue	About $700mn exiting Q1 2027	New	n.a.	About half of contracted MW live	The anchor number
Justified (401 MW)	Late 2027 to 2Q28; $10mn-$12mn/MW	End date later	n.a.	Three buildings, Fluor GMP	GMP not yet set
LM cost	$8mn-$10mn/MW; est. $8.9mn	Maintained	n.a.	Within range	Credible so far
New contracting	250 MW-500 MW a year	Maintained	n.a.	Existing portfolio suffices	Muskie is the test

Underlying economic performance: improving on rent ramp, but losses remain until CB-4 and CB-5 bill; the beat does not change that, since it includes pass-through and fit-out revenue.

5 Strategic / moat evolution

Dimension	Condition	Direction	Key observation	Implication
Power and interconnection	Strong	Up	Muskie to 1 GW subject to approval; Big Sandy CCGT filing due, approval mid-2027	Scarce 2028-29 supply
Site pipeline	Strong	Stable	About 2.1 GW development pipeline; Chesapeake pending	Backs the contracting target
Tenant quality	Improving	Up	Google behind Fluidstack and Anthropic	Credit is borrowed, and can fall away
Cost of capital	Better	Mixed	All leases to be investment-grade backed; spreads wider	Protected only against peers
Execution	Good, slipping	Mixed	$8.9mn per MW; CB-4 start, Justified end moved	Now the main risk
Durability	Strong	Stable	10-year to 20-year leases, tenants bring GPUs	No residual risk on chips

Over 5 to 10 years the landlord model avoids GPU residual risk and benefits from power scarcity. The reliance on a single wrap provider is the structural question: analysts asked how long such backstops will be offered, and management could only say it expects others to follow.

6 Major risks and changes

Risk	Prior	Current	Direction	Implication
Tenant credit, Justified	High	Moderate	Down	Google support signed; size undisclosed
Project funding price	High	High	Stable	No coupon yet, with spreads wider
Delivery	Elevated	Elevated	Up	CB-4 start and Justified end both moved
Dilution, convertibles	Elevated	Elevated	Stable	$491.5mn short-term converts; cap table assumes $500mn cash repayment
Lab concentration	High	High	Stable	Anthropic is $19bn of about $27bn contracted
Community cost	Low	Rising	Up	Host agreements expected; cost unsized

Backstop. Concern: unfinished credit support. Response: signed. Evidence: release and CFO mechanics; no size, and it ends when Anthropic reaches certain ratings.

Equity. Concern: large leases force dilution. Response: no dilution at these levels, CEO says the equity required is in hand. Evidence: $1.2bn raised in 9M; $550mn already in Justified; claim untested until debt closes.

7 Capital, funding and per-share impact

Site	MW	Tenant	Lease value	Capex	Funded by	Status
Lake Mariner	438 (102 live)	Fluidstack (Google), Core42	About $8bn	$8.9mn per MW; about $1bn left	Senior secured notes, $3.2bn face; 2/3 of the rest committed	CB-4 Q4; CB-5 Q1 27
Justified	401 net	Anthropic (Google)	About $19bn	$10mn-$12mn per MW	$550mn equity; project debt pending	Late 27 to 2Q28
Muskie	1 GW power	None yet	nil	$10mn-$12mn per MW (turnkey)	$300mn of cash backing LCs	Ramp from 4Q28

Liquidity: $2.36bn cash and restricted, $1.1bn at the parent (about $300mn behind Muskie LCs). Adds: revolver to $400mn on CB-4 commencement, $150mn by 31 December and about $130mn by 30 April from Abernathy. Against: $491.5mn short-term converts and $567mn of accrued construction and payables.

Dilution: shares 501.4mn vs 420.1mn at year-end (+19.4%); warrant liability $1.09bn. Stock $10.44 at 9:54 ET on 6 November (24/7 Wall St.), about $5.2bn market cap, after a 30% slide in a month.

Per-share read: $700mn of run-rate lease revenue against about $3.4bn of net debt today, before Justified's debt. Our implied Anthropic rent is about $197 per kW-month over the term ($19bn / 20 years / 401 MW).

8 Monitoring checklist

Five signals: MW billing, 31 December and 31 March; Justified coupon and recourse; Muskie tenant and rent; GMP figure at Justified; Settlement of short-term converts.

Key risks building: Backstop size unknown and no cover before lease commencement; another date slip would hit Justified's financing window.

Confirmation signals: 438 MW billing by end of March; Justified debt at investment-grade-like spread with no parent recourse.

Conviction tripwires: CB-5 past April; Justified debt requiring parent guarantee or equity; a coupon near neocloud junk yields.

Questions for owners (with what was asked on the call)

1. Credit. You said credit support protects against Anthropic default. What share of 20-year rent or debt does Google cover, and when does it end relative to debt maturity? → *Asked by Wells; structure only.*

2. Credit. What all-in coupon and recourse do you expect on Justified, and what if Anthropic's ratings end the wrap while spreads are wide? → *Rollins, Citi asked yields; deflected.*

3. Equity. You will not dilute at these levels. What is the $ gap to fund Muskie, and will you settle the $491.5mn converts in cash? → *Byrd asked; no sizes. Converts not asked.*

4. Delivery. CB-4 had a late-September hall in August. Which hall began rent, on what date, and is any Justified date set by the tenant? → *Partly asked by B. Riley.*

5. Pricing. Twice you declined to give current yields. What rent per kW-month would Muskie clear today? → *Deflected.*

Read-across for Kona. Management says debt needs investment-grade support, and even a $19bn lease with a top lab needed Google behind it; Kona's tenant at tens of megawatts should expect the same or pay for it. The structure is worth copying in smaller form: assumption or termination payment on default, wrap cost charged to the tenant, no equity given away. GMP EPC contracts are the second lender ask.